tries. Her banking system was efficient and well organized throughout the country, and the *hundis* or bills of exchange issued by the great business or financial houses were honoured everywhere in India, as well as in Iran, and Kabul and Herat and Tashkent and other places in central Asia. Merchant capital had emerged and there was an elaborate network of agents, jobbers, brokers, and middlemen. The ship building industry was flourishing and one of the flagships of an English admiral during the Napoleonic wars had been built by an Indian firm in India. India was, in fact, as advanced industrially, commercially, and financially as any country prior to the industrial revolution. No such development could have taken place unless the country had enjoyed long periods of stable and peaceful government and the highways were safe for traffic and trade.

Foreign adventurers originally came to India because of the excellence of her manufacturers which had a big market in. Europe. The chief business of the British East India Company **in** its early days was to trade with Indian goods in Europe, and very profitable trading it was, yielding enormous dividends. **So** efficient and highly organized were Indian methods of produc-